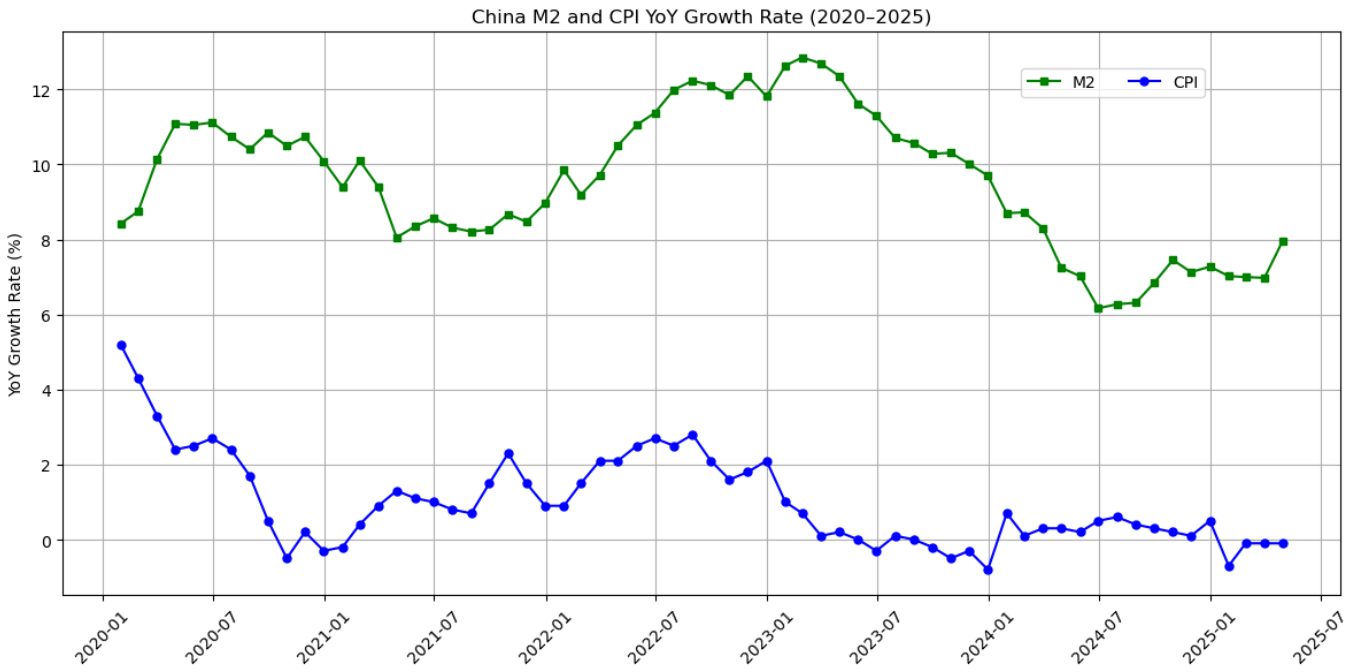
The Inflation Paradox: Rising Money Supply, Stagnant Prices



Sources: People's Bank of China (PBoC) for M2; National Bureau of Statistics (NBS) for CPI.

- From early 2020 to April 2025, China's broad money supply (M2) rose by over 50%, from approximately RMB 215 trillion to over RMB 320 trillion.

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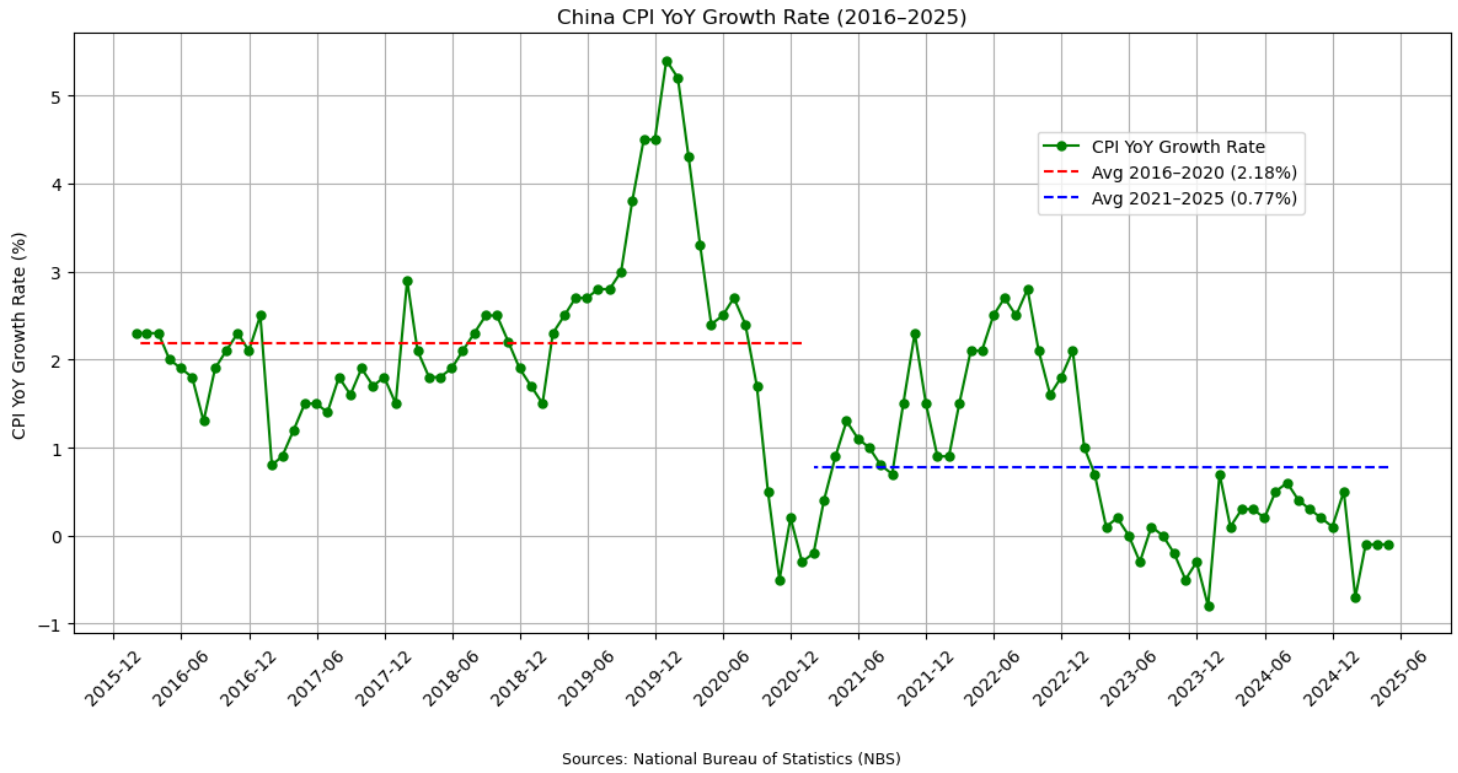
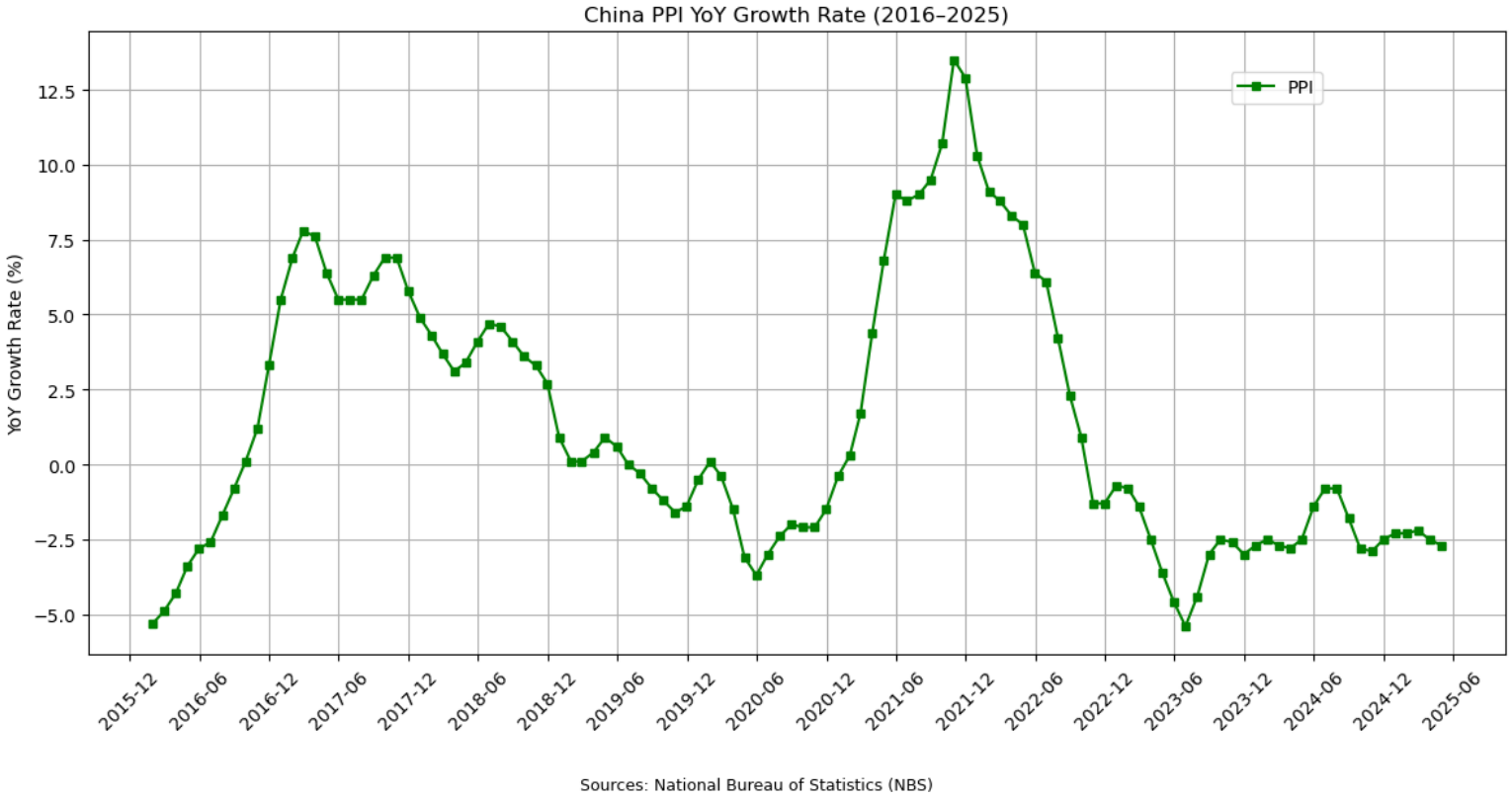


- 2016–2020: Average CPI growth 2.18% (red line); mostly 1%–3%, peaking above 5% in late 2019–2020.
- 2021–2025: Average drops to 0.77% (blue line); often near zero or negative, showing disinflation/deflation.

The Inflation Paradox: Rising Money Supply, Falling Prices



- As of May 2025, China's Producer Price Index (PPI) had recorded 32 consecutive months of year-on-year declines, marking nearly three years of persistent deflation in factory-gate prices

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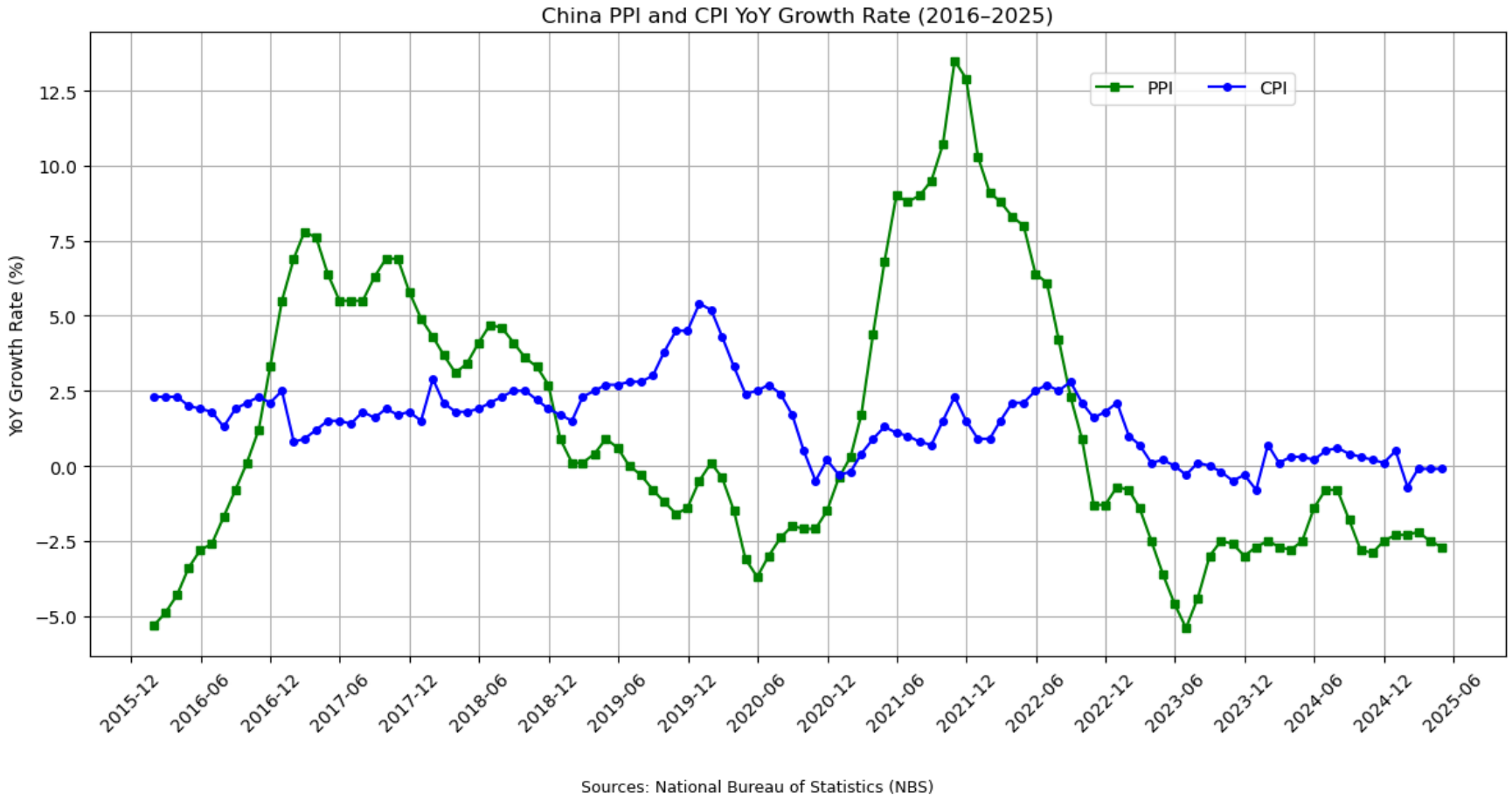
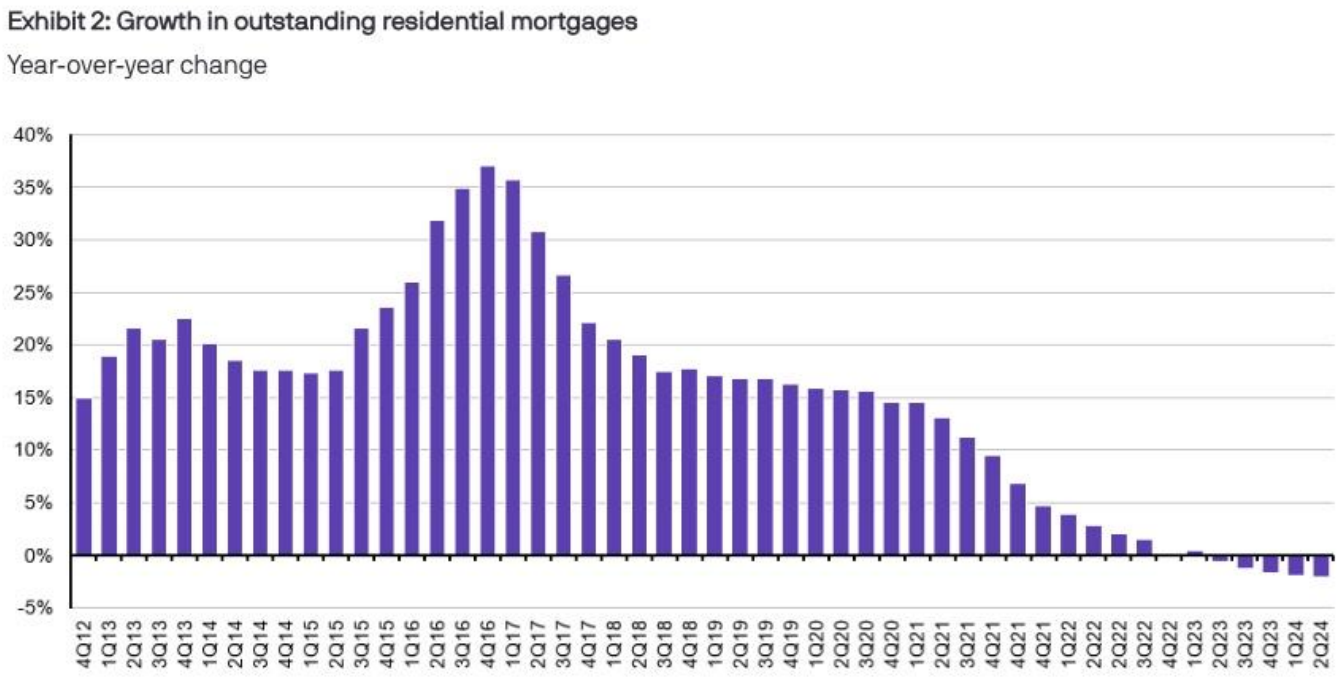


The Real Estate Shock: Eroding Confidence in Housing



Source: People's Bank of China, CEIC, J.P. Morgan Asset Management. Data reflect most recently available as of 18/10/24.

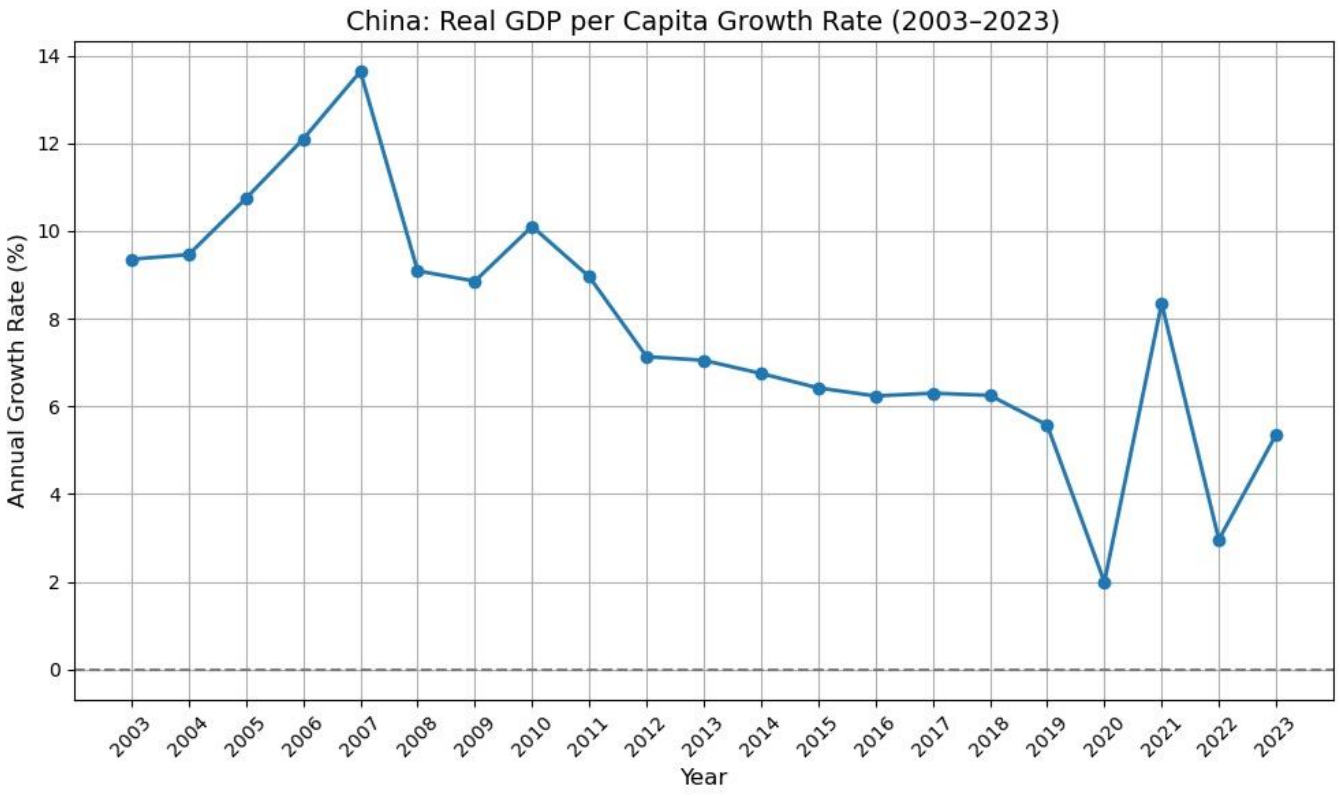
- According to J.P. Morgan Asset Management (2024), over half of Chinese household wealth is tied to real estate.
- Since 2021, falling home prices, mortgage boycotts, and widespread project delays have undermined confidence in housing as both a store of value and a source of returns.
- The retreat from housing debt signals not just weaker property demand, but a broader reassessment of real estate as a viable asset class.

The Real Estate Shock: Eroding Confidence in Housing

Source: National Bureau of Statistics (NBS).

- In response, households have moved toward more liquid, lower-risk holdings, primarily cash and deposits, fueling an increase in real money demand.
- The downturn has further narrowed an already limited menu of attractive and accessible investment options, especially for risk-averse households who face limited exposure to equities or offshore assets.

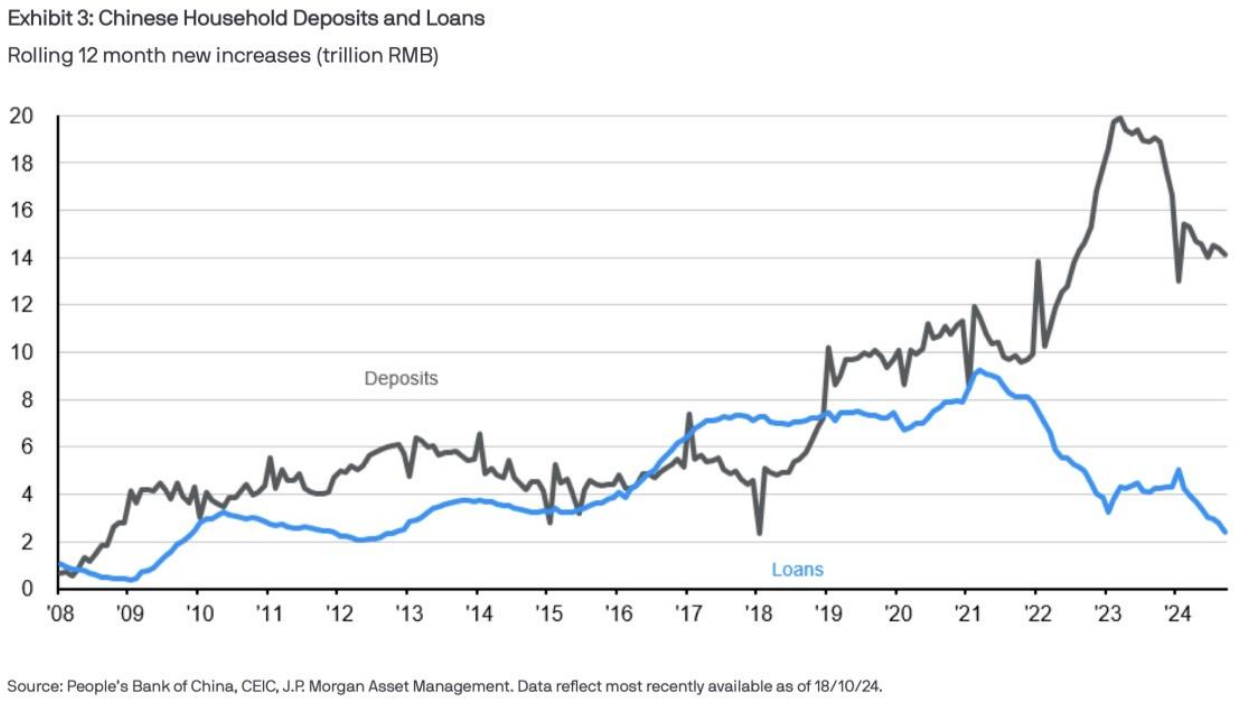
Shock of Increasing Uncertainties



Source: World Bank (Indicator: NY.GDP.PCAP.KN.ZG)

- Large swings in growth, especially sharp declines around 2020 and rebounds in 2021, mainly reflect COVID-19 shocks and related policy responses, which increase uncertainty and complicate future growth expectations.

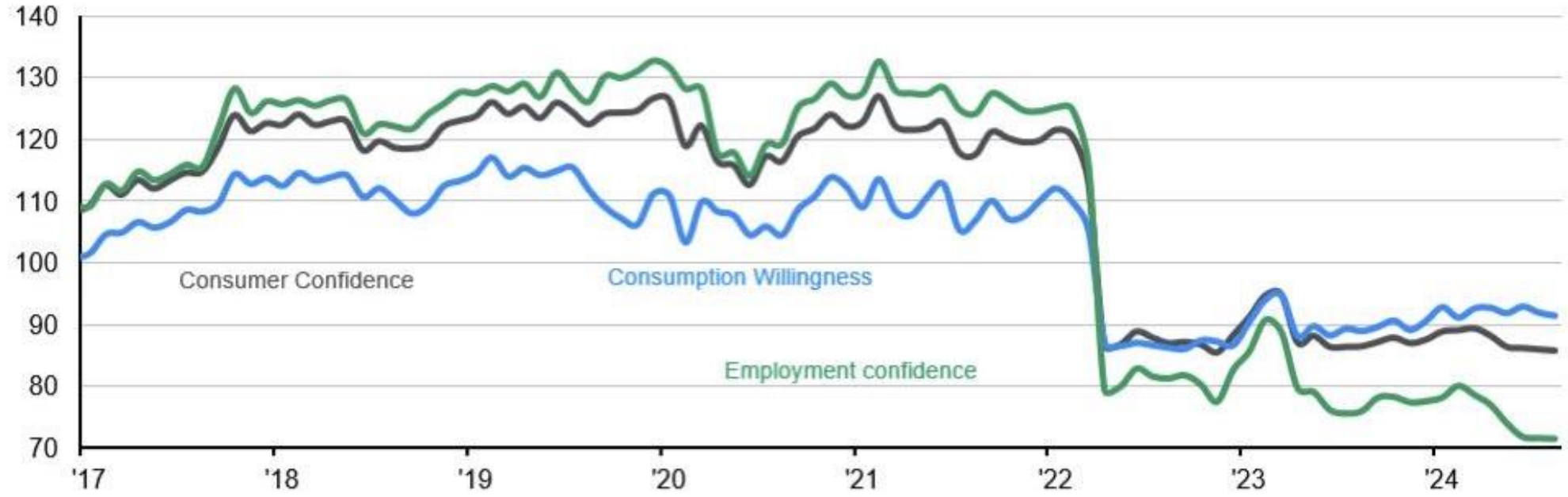
Rising Precautionary Savings, Falling Loan Demand



- Loan growth steadily declined after 2021, as households pulled back from borrowing and risk-taking.
- A move from consumption and investment toward precautionary saving, reflecting heightened uncertainty and weaker income growth.

Sharp Drop in Consumer Confidence After Pandemic

Exhibit 1: China consumer confidence



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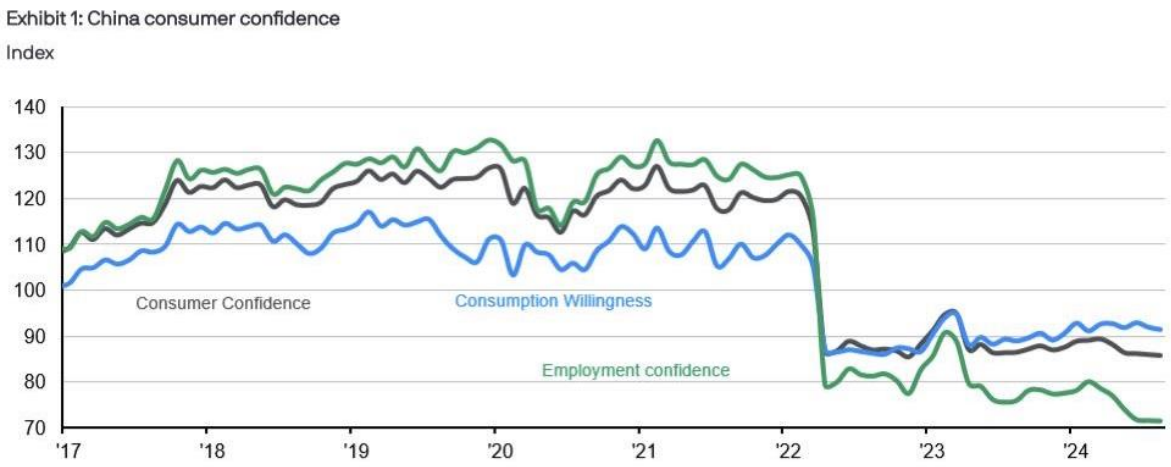
Sharp Drop in Consumer Confidence After Pandemic



Source: National Bureau of Statistics, CEIC, J.P. Morgan Asset Management.
Data reflect most recently available as of 18/10/24.

- Post-pandemic consumer confidence plunged sharply in 2022 and remains subdued, reflecting deep declines in both employment confidence and consumption willingness.
- This sustained weakness underscores heightened uncertainty and supports the rise in precautionary saving.

Concerning Youth Unemployment Rate

Note: Beginning in December 2023, youth unemployment statistics were revised to exclude full-time students.
The reported rates from that point onward reflect only non-student labor force participants.
Source: National Bureau of Statistics (NBS).

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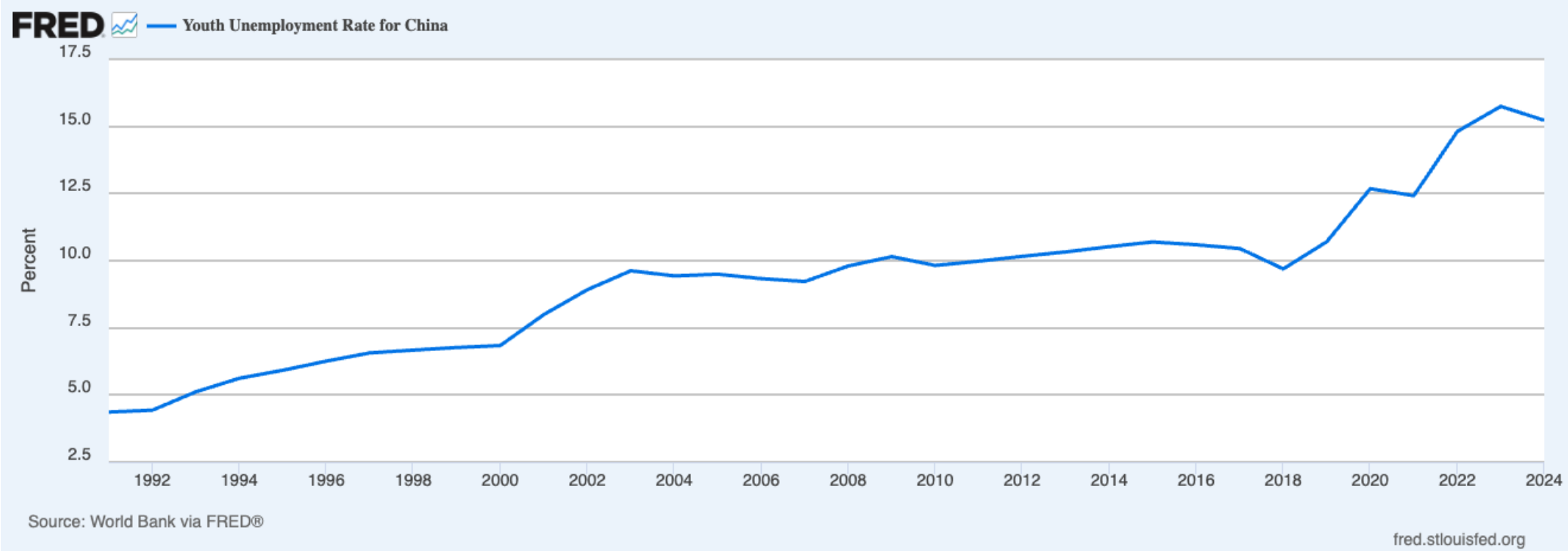
Source: National Bureau of Statistics (NBS).

- Youth joblessness peaked at over 21% in 2023, and even under the revised metric, excluding full- time students, remains persistently high at 16–18% in 2024–2025. These trends underscore a
- Widespread deterioration in expectations about labor market stability and future income, especially among younger cohorts.

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